Signé par Em

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BEFORE YOU BEGIN

Important notice

This guide is provided for informational and educational purposes only. It presents general information about real estate in Quebec and does not constitute personalized real estate, legal, tax or financial advice. Every real estate situation is different, and you should consult the appropriate professionals before making a decision about a transaction.

Municipal Assessment vs. Market Value · Collection Quebec & Legal · Guide No. 41 · 2026 Edition

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Municipal Assessment vs. Market Value

Two numbers, two uses – stop confusing them

“My house is valued at this much in the city. » We hear this phrase often - and it leads to many misunderstandings about prices. Municipal assessment and market value are two different things, with two distinct uses.

This guide clarifies the difference, explains the comparative factor, and helps you use the right number at the right time.

Each chapter ends with a lined “My Notes” page.

“My house is valued at this much in the city”: this sentence leads to many misunderstandings. This guide clarifies the difference between municipal assessment (tax tool) and market value (market price), explains the comparative factor and how to contest an assessment.

The key message: the right number at the right time.

CHAPTER

Municipal assessment: a fiscal tool

> *Understand what it is really used for.*

The municipal assessment appears in **evaluation role**. Its purpose is not to set a selling price: it serves to **distribute taxes** municipal and school.

It is established “en masse”, on a reference date, for an entire territory - not property by property at the current price. Consequence:

- It may be higher or lower than the actual market value.
- It often shows a time lag.

The municipal assessment appears on the assessment roll and is used to distribute taxes. Established en masse, on a reference date, with a time lag, it can be higher or lower than the market. “The city values it this much, so it’s worth this much” is the number one misunderstanding.

> EMILIE'S ADVICE
>
> *“The city values it at this much, so it’s worth that much”: this is the number one misunderstanding. The municipal assessment is used to calculate your taxes, not to set the sale price.*

CHAPTER

Market value: the market price

> *Understand what a buyer actually pays.*

Market value is the price that a **buyer informed** is ready to pay *today*, under current market conditions.

It is determined by a **comparative market analysis** (recent sales of similar properties), and not by the assessment roll.

It is this number - and it alone - which must guide a sale price or a purchase offer.

Market value is the price an informed buyer pays today, determined by comparative analysis (similar recent sales) - not by role. It is this figure, and it alone, which should guide a sale price or a purchase offer.

> EMILIE'S ADVICE
>
> *To know the true value of your property, request a comparative analysis based on recent sales in the area. This is the only number that matters when it comes to selling or buying.*

CHAPTER

The comparative factor and good practices

> *Connect the two concepts correctly.*

The municipality applies a **comparative factor** to try to reconcile the role of assessment with market value - for example in the calculation of the welcome tax.

This clearly shows that the evaluation, alone, is not the market value. Each number has its use:

- **Municipal assessment** : for taxes, and as an (adjusted) basis for the welcome tax.
- **Market value** : to set a price, make an offer, negotiate.

The municipality applies a comparative factor to approximate the role of the market (notably for the welcome tax), which clearly shows that the assessment alone is not the market value. Each number has its use: assessment for taxes, market value to set a price.

> EMILIE'S ADVICE
>
> *To estimate your welcome tax, remember that we take the higher of the price paid and the municipal assessment adjusted by the comparative factor. This avoids unpleasant surprises.*

CHAPTER

Contest your municipal assessment

> *Take action if the role seems wrong to you.*

If your municipal assessment seems clearly too high compared to the market, you can **contest** - within a specific period following the filing of a new role.

1. Compare your assessment to that of similar properties.
2. Gather evidence (comparable sales, actual condition of the building).
3. Submit a **request for review** with the municipality within the stipulated deadline.

An assessment that is too high can inflate your taxes year after year: it can be worth the effort.

If your assessment seems significantly too high compared to the market, you can contest it within a specific period following the filing of a new role: compare with similar properties, gather evidence and file a request for review. An assessment that is too high will inflate your taxes for years.

> EMILIE'S ADVICE
>
> *Don't let the review deadline pass. If your assessment clearly exceeds that of comparable homes, a well-documented appeal can reduce your taxes for years.*

CHAPTER

The right number at the right time

> *Never confuse the two again.*

In practice, keep this reflex simple depending on the situation:

- I **sell** or I make a **offers** → market value (comparative analysis).
- I check my **taxes** → municipal assessment (role).
- I value my **welcome tax** → the higher of the price paid or the adjusted valuation.

Both numbers are useful; it's mixing them that leads to pricing errors.

Keep this reflex: I sell or I offer → market value; I check my taxes → municipal assessment; I estimate my welcome tax → the higher of the price paid or the adjusted assessment. Both numbers are useful; it's mixing them that leads to pricing errors.

> EMILIE'S ADVICE
>
> *Mentally show yourself two drawers: "taxes" for the municipal assessment, "price" for the market value. Never pick from the wrong drawer when negotiating.*

IN PRACTICE

Action plan

> *Your next steps, concretely.*

This week

1. Locate my municipal assessment and its date.
2. Request a comparative analysis for market value.

Within 30 days

1. Use market value for all pricing decisions.
2. Understand the comparative factor for the welcome tax.

Then

1. No longer confuse the two numbers.

Good reflexes

1. Use market value (comparative analysis) for all pricing decisions.
2. Check the dispute deadline if my evaluation clearly exceeds the market.

REFERENCES

Resources & glossary

- Assessment roll: municipal register of values, tax base.
- Municipal assessment: tax value, distinct from the sale price.
- Market value: the price an informed buyer pays today.
- Comparative factor: coefficient approximating the market valuation.
- Comparative analysis: recent sales used to determine market value.

- Assessment role: municipal register of values, tax base.
- Municipal assessment: tax value, distinct from the sale price.
- Market value: the price an informed buyer pays today.
- Comparative factor: coefficient approximating the market valuation.
- Request for review: recourse to contest an evaluation.

GO FURTHER

Quiz - test yourself

1. The municipal assessment is mainly used to:

A) Set the selling price
B) Distribute taxes
C) Pay the notary
D) Insure the house

2. It is established:

A) At today's price, property by property
B) In mass, on a reference date
C) By the buyer
D) Every week

3. The market value is:

A) The number of the role
B) The price an informed buyer pays today
C) The welcome tax
D) Franchise

4. It is determined by:

A) The evaluation role
B) A comparative market analysis
C) Chance
D) The city

5. The comparative factor is used to:

A) Hide taxes
B) Bring the valuation closer to the market (e.g. welcome tax)
C) Fix insurance
D) Nothing

6. To set a selling price, we use:

A) Municipal assessment
B) Market value
C) School tax
D) Franchise

7. A municipal assessment that is too high can:

A) Reduce your taxes
B) Inflate your taxes year after year
C) Lower the selling price
D) Being ignored without effect

8. To contest it, you must:

A) Wait ten years
B) File a request for review within the stipulated time limit
C) Call the notary
D) Sell the house

9. To check your taxes, the correct number is:

A) Market value
B) Municipal assessment
C) The price paid by the neighbor
D) Insurance

10. The welcome tax is based on:

A) The lower of the two numbers
B) The greater of the price paid or the adjusted valuation
C) Franchise
D) Nothing

Answers

1. B - Tax tool (chap. 1).

2. B - Mass evaluation (chap. 1).

3. B - Real market price (chap. 2).

4. B - Comparable sales (chap. 2).

5. B - Valuation/market reconciliation (chap. 3).

6. B - Market value (chapters 3 and 5).

7. B - Fiscal impact (chap. 4).

8. B - Request for review (chap. 4).

9. B - Municipal assessment (chap. 5).

10. B - The higher of the two (chapters 3 and 5).

Make informed decisions.
Choose with confidence.
Move forward without regret.

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